

can be shown to have parallels in such things as music, medicine, physics, etc. In other words, here and there some natural laws seem to be involved. You have already seen many technical similarities between stock price movements and a piece of music. There is some logic and order in both. There is a strong hint of something which goes beyond just pure chance. Though it is presumptuous to say that there is a predictable design, there is enough evidence to more than justify further investigation.

In medicine a disease has certain symptoms which enables the doctor to diagnose correctly. Some diseases have similar symptoms and a less experienced physician may make the wrong diagnosis simply because he overlooks the one symptom which differentiates that disease from many others. There is always a specific set of symptoms which singles out and labels a particular disease correctly. It is the same in the stock market with technical analysis. Each situation in the market has a specific set of technical indicators (symptoms) which correctly labels (diagnoses) the situation for what it is. A less experienced market technician may misread the market simply because he is overlooking perhaps the one indicator which is calling the situation correctly. One cannot expect to become a good market diagnostician overnight anymore than one could become a good doctor without the necessary years of practice and training.

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*Technical analysis of the stock market is largely based on many repetitive observations and the truths revealed often can be shown to have parallels in such things as music, medicine, physics, etc.*

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A study of the stock market reveals the workings of many laws of physics and laws of nature. Some of these are: